Hot US inflation puts a December Fed rate hike on the table

> US consumer prices rose faster than expected in October. Markets now fully price a 25-basis-point rise by the US Federal Reserve in December, with knock-on effects for global capital flows and the Australian dollar.

WHAT HAPPENED

- US CPI rose **0.4%** in October; core CPI rose **0.3%**. Both were 0.1 point above forecasts.
- No annual rate was published: the 2025 government shutdown meant no October 2025 price data was collected.
- Fed Governor **Chris Waller** backs a 25bp hike in December and could favour 50bp; markets now fully price 25bp.
- The **US dollar index** rose 0.7% to its highest since April 2025; the US 10-year bond yield is about 5%.

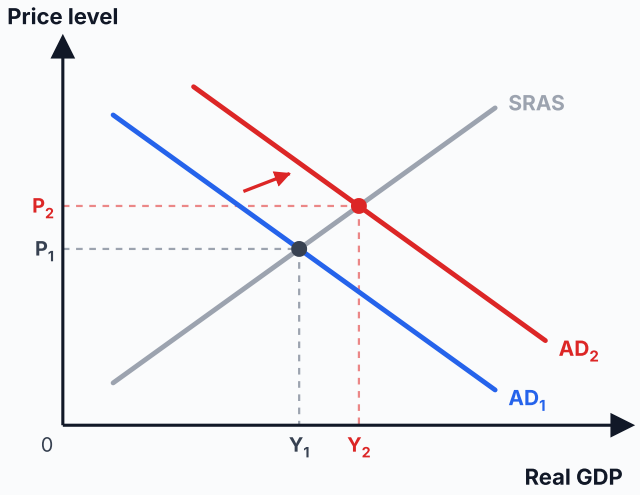
+0.4% US CPI, Oct (month)	**+0.3%** Core CPI, Oct (month)
4.99% US 10-year bond yield	**+0.7%** US dollar index rise

KEY TERMS

Core inflation – CPI excluding volatile items such as food and energy.

Demand-pull inflation – Prices rising because spending outpaces the economy's capacity.

DIAGRAM Why the Fed wants to slow US demand



Strong US spending has shifted aggregate demand from **AD_1 to AD_2**, lifting the price level from **P_1 to P_2**: demand-pull inflation.

A Fed rate hike raises borrowing costs so that AD shifts back to the left, easing price pressure at the cost of slower growth (Y_2 back towards Y_1).

Exam angle: Higher US interest rates pull global capital towards the US. That links this Topic 1 story to the Topic 2 exchange-rate story: the AUD fell as the US dollar rose.

FLOW CHART Cause and effect

Hot US inflation data → Fed expected to hike in December → US yields and US dollar rise → **Capital flows to the US; AUD weakens**

SYLLABUS LINK

Topic 1 – The Global Economy: global financial flows; economic growth and policy in major economies (the US) and how they spread to other countries.

TRY THIS (4 marks)

Explain how a rise in US interest rates could affect financial flows into Australia and the value of the Australian dollar.

Sources: ING THINK – Hotter US inflation strengthens the case for a December Fed hike: https://think.ing.com/articles/us-cpi-october-2026 · Westpac IQ – Morning Report, 12 Nov 2026: https://www.westpaciq.com.au/economics/2026/11/Morning-report-12-Nov-2026 · ABC News – Markets live blog, 12 Nov 2026: https://www.abc.net.au/news/2026-11-12/asx-markets-business-news-live-updates-thursday-12-november/107374826